

# Agenda Item 4-A: Assurance on Sustainability / ESG Reporting

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*IAASB Meeting  
June 15, 2022*



# What has the IAASB Discussed so Far?

December 2021: Work Plan for 2022-2023: Commence information gathering on sustainability / ESG assurance

**Focus actions on balancing public interest for: timely, comprehensive, relevant, implementable and understandable standards**

March 2022: IAASB Board Meeting:

- Presentations from European Commission, and perspectives from preparer, investor and assurance practitioner
- Board breakout groups to brainstorm challenges, scope of IAASB work, and way forward

June 2022: IAASB Board Meeting

- Debriefing from March Board meeting
- Board direction on the scope of immediate standard-setting actions

# Feedback from March Breakout Groups

**All encapsulated within the scope of the IAASB's work**

**Topics**

**Information  
disclosed  
about the  
topics**

**Mechanism  
for reporting**

**Reporting  
standards**

**Users**

**Timely / responsive  
standard setting action**

**Sustainability branded  
standards**

**Leverage existing  
IAASB  
standards/guidance**

# Feedback from March Breakout Groups (continued)

## Various critical challenges

Acceptance / continuance

Other professional  
assurance providers

Limited versus reasonable  
assurance

Sufficient appropriate evidence

Materiality

Reliance on experts and others

Fraud

Forward looking information

Completeness

Understanding controls

Users' lack of understanding of assurance report

# SAWG Recommendations



**Pursue the development of standards for assurance on sustainability**

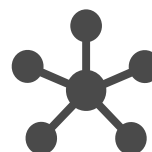


**Focus on the following priority challenges:**



**Limited versus  
reasonable  
assurance**

**Suitable  
reporting  
criteria**



**Scope of  
engagement**

**Evidence &  
Internal Controls**



**Practitioners'  
Materiality**

# Questions for the Board

## Question 1

Does the Board support pursuing the development of a standard(s) for assurance on sustainability / ESG reporting as the immediate action?

## Question 2

Does the Board agree with the five challenges that have been identified by the SAWG as most critical, and on which specificity would be provided as part of the initial standard-setting effort?

## Question 3

Does the Board agree with the SAWG's view that it is necessary to address both limited assurance and reasonable assurance initially or does it prefer to address limited assurance only as the IAASB's initial standard-setting efforts?

# Proposed Approach to Building the Standards



## Immediate action

**Overarching standard for  
assurance on  
sustainability**

### **Key Decisions:**

- Whether to cover limited assurance and reasonable assurance
- Linkage to ISAE 3000 (Revised)



## Future Vision

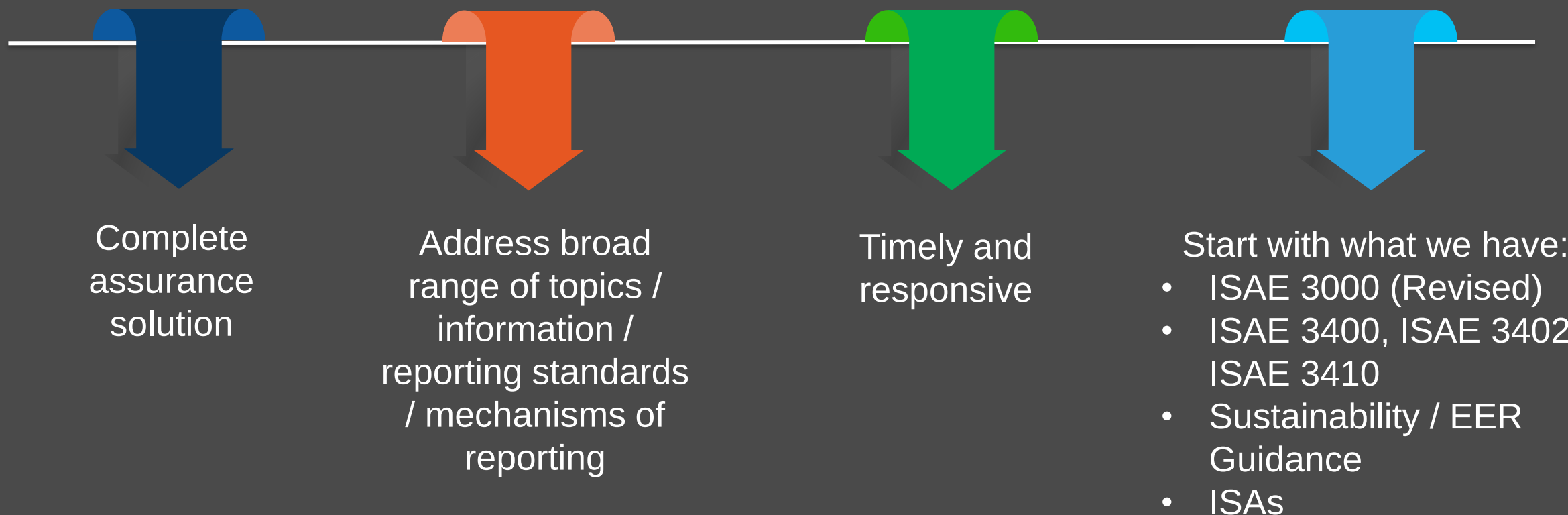
**Further develop and  
build standards over  
time**

**Address challenges  
Consider maturity of reporting  
and assurance**



# Proposed Immediate Action: Overarching Standard

## Approach to Standard Development





# Public Interest Framework for Development of Standards

## Qualitative **characteristics** of high-quality standards responsive to the public interest:

1. Consistency *with strategic priorities*
2. Coherence *with the overall body of standards*
3. Appropriate scope *to address key issues*
4. Scalability *proportionate to relative impact*
5. **Timeliness\*** *without sacrificing quality*
6. **Relevance\*** *to differing circumstances*
7. Completeness *reflecting outreach*
8. **Comprehensiveness\*** *limiting exceptions*
9. Clarity and conciseness *for*  
**Understandability\***
10. **Implementability\*** *consistently and globally*
11. Enforceability *through clear responsibilities*

*\* Characteristics identified as key to determining the architecture of sustainability standard/s*

# ISAE 3000 (Revised) Linkage Options for Overarching Standard

|                                                                                | Material from ISAE 3000 (Revised)                                    | Compliance with ISAE 3000 (Revised)          | Material from other standards (e.g., ISAs, ISAE 3410 etc.)        | Key features                                            | Key Public Interest Framework Characteristics met |
|--------------------------------------------------------------------------------|----------------------------------------------------------------------|----------------------------------------------|-------------------------------------------------------------------|---------------------------------------------------------|---------------------------------------------------|
| <b>Option 1:</b><br>“Greenfield” approach                                      | Not constrained by ISAE 3000 (Revised)                               | Does not require compliance with ISAE 3000   | Consider relevant material, modify/adapt for sustainability / ESG | Allows for innovation and new approaches                | Relevant                                          |
| <b>Option 2:</b><br>“Stand-alone” standard consistent with ISAE 3000 (Revised) | Relevant elements and principles of ISAE 3000 (Revised) incorporated | Does not require compliance with ISAE 3000   | Consider relevant material, modify/adapt for sustainability / ESG | Enhancements and specificity for sustainability / ESG   | Relevant Understandable                           |
| <b>Option 3:</b><br>“ISAE 3000 (Revised) plus” approach                        | Only includes requirements additional to ISAE 3000 (Revised)         | Requires compliance with ISAE 3000 (Revised) | Consider relevant material, modify/adapt for sustainability / ESG | Similar approach to other subject-matter specific ISAEs | Timely                                            |

# Questions for the Board

## Question 4

The Board is asked to share their views on:

- (a) The proposed phased approach to standard setting for sustainability / ESG assurance engagements
  - *Immediate action: an overarching standard to provide the future building blocks*
  - *Possible future action: standard-setting in response to public interest priorities.*
- (b) The approach to developing an overarching standard (i.e., which option is preferred: “Greenfield”, “Stand-alone” or “ISAE 3000 (Revised) plus”)
- (c) Any other matters for consideration by the SAWG or Staff as work is undertaken in developing the overarching standard



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